

**IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(CIVIL REVISIONAL JURISDICTION)**

Present:

Mr. Justice Md. Moinul Islam Chowdhury

Civil Revision No. 384 of 2001

IN THE MATTER OF:

An application under section 115(1) of the Code of Civil Procedure.

And

IN THE MATTER OF:

M/S. Speedy International Private Limited Company, represented by its Proprietor
Petitioner No. 2 and another

--- Plaintiff - Appellant- Petitioners.

-versus-

Bangladesh Shilpa Rin Sangstha, Motijheel
C/A, Dhaka and others

--- Opposite Parties.

Mr. Md. Zahedul Bari with

Mr. Md. Emdadul Haq Shamim, Advocates

--- For the Plaintiff-Appellant-Petitioners.

Mr. Sheikh Habib-ul Alam, Advocate

--- For the Opposite Party.

Heard on: 31.01.2022, 02.01.2023 and 19.01.2023.

Date of Judgment: 19.01.2023.

At the instance of the present plaintiff-appellant-petitioners, M/S Speedy International Private Limited Company and another, this revisional application has been filed under section 115(1) of the Code of Civil Procedure and the Rule was issued calling upon the opposite parties to show cause as to why the judgment and decree dated 23.07.2000 passed by the learned Subordinate Judge, Court No. 2, Bogra in the Title Appeal No. 4 of 1998 affirming the order

dated 24.08.1997 passed by the learned Senior Assistant Judge, Dhupchachia, Bogra in the Other Suit No. 50 of 1997 should not be *set aside*.

The relevant facts for disposal of this Rule, *inter-alia*, are that on 05.11.1992 the petitioner filed Other Suit No. 309 of 1992 in the court of the learned Senior Assistant Judge, Court No. 1, Bogra against the present opposite parties. Bangladesh Silpo Rin Shongstha and others (now abolished) for declaration that the letter dated 18.10.1992 issued by the opposite parties about taking over the business establishment of the petitioners was illegal. However, the said case was subsequently transferred to the learned Assistant Judge, Dhupchachia and it was renumbered as Other Class Suit No. 50 of 1997. The plaint contains that the present plaintiff-petitioner was Speedy International Private Limited Company is incorporated under the Companies Act, 1913 and the petitioner as the company applied for a loan on 01.02.1980 to the present opposite party “Bangladesh Shilpa Rin Sangstha” (hereinafter referred to as (BSRS) for importing of 5 trucks of spare parts for establishing a workshop. Subsequently, on 25.04.1980 sanctioned a loan in foreign currency equivalent to Tk. 1.4 million and Tk. 1.1 million in local currency on executing a registering necessary documents and money was given to the petitioner by the opposite party- “Bangladesh Shilpa Rin Sangstha”. Subsequently, further loans

were also granted in favour of the petitioner but the plaintiff-petitioner failed to return this loan amount with interest, thereupon, the petitioner-company having been a defaulter. The present opposite party, “BSRS” Sangstha subsequently the said name was established as BDBL. On 29.10.1992 the opposite party along with the Officer-In-Charge of the Police Station, Bogra went to the workshop of the petitioner to take over the business establishment according to the letter dated 18.10.1992 but the petitioner showed to the police and the opposite party Sangstha regarding a Certificate Case being Certificate Case No. 4/Shilpa/89-90. The opposite parties could not take over the management and administration, thus, the suit was filed.

The present opposite parties as the defendant appeared and contested the suit and filed an application under order-7 rule-11 of the Code of Criminal Procedure.

After hearing the parties the learned Senior Assistant Judge, Dhupchachia, Bogra rejected the plaint as the suit is barred under section 34 of the Bangladesh Shilpa Rin Sangstha Order, 1972 (P. O. No. 128 of 1972).

Being aggrieved by the aforesaid order the present petitioner preferred the Other Appeal No. 4 of 1998 in the court of the learned District Judge, Bogra which was heard by the learned Subordinate Judge, Court No. 2, Bogra who after hearing the parties dismissed

the appeal by affirming the judgment of the learned trial court. Being aggrieved this revisional application has been filed under section 115(1) of the Code of Civil Procedure and the Rule was issued thereupon.

Mr. Md. Zahedul Bari, the learned Advocate, appearing along with the learned Advocate, Mr. Md. Emdadul Haq Shamim on behalf of the petitioner, submits that the learned appellate court below as well as the learned trial court committed an error of law in failing to appreciate the admitted fact that the opposite parties have not been yet taken over the business establishment of the petitioner, as such, the provision of section 34(5) of the Bangladesh Shilpa Rin Sangstha Order, 1972 is not applicable to the facts and circumstances of the present suit.

The learned Advocate also submits that both the courts below committed an error of law by passing the concurrent judgments which were decided upon an application filed by the present opposite parties under order-7 rule 11 of the Code of Civil Procedure, as such, the Rule is liable to be made absolute.

The Rule has been opposed by the present opposite parties.

Mr. Sheikh Habib-ul Alam, the learned Advocate, appearing for the opposite party submits that admittedly the present plaintiff-petitioner was a defaulter for failing to repay the amount within the stipulated period of time, as such, under article 34, the Sangstha

was entitled to take over the management and administration concerned of the present petitioner and also issue a letter thereabout after failing to take over the possession of the defaulter company, as such, the suit was filed by the petitioner challenging the letter was not maintainable under order-7 rule-11 of the Code of Civil Procedure, as such, the courts below concurrently found against the present petitioner but by misleading the court this Rule was obtained and the Rule is liable to be discharged.

The learned Advocate further submits that the opposite parties being a lending/ financial institution admittedly granted the loan and after being a defaulter admittedly the petitioner was a borrower and a defaulter therefrom. The Sangstha filed the Miscellaneous Case No. 207 of 1992 in the court concerned and subsequently the case was transferred to the learned District Judge, Dhaka and renumbered as Miscellaneous Case No. 555 of 1999 and the miscellaneous case was decreed on 19.03.2001 in favour of the opposite party No. 1 and there is an execution case which is still pending, thus, the present opposite parties (Sangstha) has taken appropriate steps in the suit filed by the present petitioner and also in the case filed by the opposite parties, thus, this Rule should be discharged in order to continue with the execution case.

Considering the above submissions made by the learned Advocates appearing for the respective parties and also considering

the revisional application filed by the plaintiff-petitioner under section 115(1) of the Code of Civil Procedure along with the annexures therein, in particular, the impugned judgment, it appears to this court that the present opposite parties being “Bangladesh Shilpa Rin Sangstha” was created by the P. O. 128 of 1972 empowering to lend money for the financial improvement of the country. The plaintiff-petitioner applied for a loan in order to purchase 5 trucks of other accessories and the loan was granted by the Sangstha. At a certain point of time, the present petitioner being the M/S. Speedy International Private Limited Company became a defaulter, as such, the Sangstha issued a notice to take over the management and administration of the company. Challenging the said letter the present petitioner filed the title suit and the present opposite party the Songstha filed the application under order-7 rule-11 of the code of Civil Procedure to reject the plaint of the petitioner.

After hearing the parties the learned trial court rejected the plaint by his judgment and order dated 24.08.1997 and the appeal preferred by the appellant as the petitioner which was also dismissed and thereby affirming the judgment of the learned trial court.

Now, this court has to consider whether the learned appellate court below had committed any error of law by affirming the

judgment of the learned trial court or not as well as the learned trial court after considering the legal aspects of whether the learned trial court committed any error of law or not.

I have carefully considered and examined the judgment of the learned courts below and also considering the factual and legal aspects of the case, I found that the present petitioner as the borrower admittedly became a defaulter and the lending Sangstha has a legal remedy for recovery of the borrowed money therefrom. It further appears that the Sangstha had taken appropriate steps to take over the management and administration of the defaulting company but the provision of Article 34(5) of the “Bangladesh Shilpa Rin Sangstha Order 1972 (P. O. No. 128 of 1972)” which imposed bar to take action by the court against the borrower to take over borrowed money.

Now, I am entering into Article 34 containing 6 Sub-Articles but Article 34 Sub-Article- 1 and 5 are relevant for the present case. For the convenience I am inclined to quote those Sub-Articles which read as follows:

“34. (1) Where any industrial concern which is under a liability to the Sangstha under an agreement makes any default in payment or otherwise fails to comply with the terms of its agreement with the Sangstha, the Sangstha may, notwithstanding anything contained in Article 33, take over the management and administration of the industrial concern, and may sell or

realize any property pledged, mortgaged, hypothecated or assigned by the industrial concern to secure its liability to the Sangstha.

(2) ...

(3) ...

(4) ...

(5) ¹[(5) Where the Sangstha takes over the management and administration of an industrial concern under clause (1) or transfers any property in exercise of its powers of sale or realization under that clause, such taking over or transfer shall not be called in question in or before any Court; and no Court shall-

(a) entertain any suit, application or other legal proceeding-

(i) for a declaration that such taking over or transfer is illegal, ineffective or void, or

(ii) for setting aside or annulling any order or decision of the Sangstha relating to such taking over or transfer, or

(iii) for an order of injunction or any other order prohibiting or restraining the Sangstha or any of its officers from such taking over or transfer; or

(b) issue, make or pass any order of ad interim or temporary injunction or any other order prohibiting or restraining the Sangstha or any of its officers from such taking over or transfer.”

As per the above provisions of law the ‘Bangladesh Shilpa Rin Sangstha Order, 1972’ has taken over the possession of the defaulter company or could have taken the possession of the management and administration of the defaulting company.

In the instant case, the suit was filed challenging the letter dated 18.10.1992 for taking action as per the provision of Article-34 but the letter was challenged by filing the suit. The present opposite party filed an application under order-7 rule 11 of the Code of Civil Procedure for challenging the letter was barred by the above provisions of law.

I consider that the learned trial court committed no error of law by rejecting the plaint because under Article 34(1) read with Sub-Article 5 of the P. O. 1972 given the Sangstha for taking any action and also for taking over the management of the defaulting company. In the instant case, the letter was issued earlier and took steps for taking over the management. If we read Article 34(1) copied above allowing the lending Sangstha for allowing to take an action and allowing to take over the management and administration of the defaulting company. The learned trial court came to a conclusion to reject the plaint upon application under order-7 rule 11 of the Code of Civil Procedure. The learned trial court came to a lawful conclusion in the following manner and terms:

...“শিল্প ঋণ সংস্থা আদেশের ৩৪ ধারা পর্যালোচনা করিয়া দেখা যায় যে, উক্ত সংস্থা কর্তৃক তাহার দায়বদ্ধ কোন আদালতে মামলা করা চলিবে না। বাদী ১ নং বিবাদী কর্তৃক বাদীর ব্যবহসা প্রতিষ্ঠান অধিগ্রহণ সংক্রান্ত অনুরোধ পত্রকে বিতর্কিত করিয়া অত্র মোকদ্দমা আনয়ন করিয়াছেন। পর্যালোচনায় প্রতিয়মাণ হয়

যে, বাদীর আনীত অত্র মোকদ্দমাটি বাংলাদেশ শিল্প ঋণ সংস্থা আদেশ ১৯৭২ এর ৩৪(৫)(a)(i)(ii) ধারার বিধান দ্বারা বারিত।”...

The learned appellate court below concurrently found that the learned trial court committed no error of law by passing the impugned judgment, as such, the appeal was concurrently dismissed by affirming the judgment of the learned trial court and here is quoted a portion of the judgment of the learned appellate court below:

...“বাদীপক্ষ বিবাদীর নিকট হইতে ঋণ গ্রহণ করেন তাহা স্বীকৃত। বিবাদী ‘বাংলাদেশ শিল্প ঋণ সংস্থা’ পাওনা টাকা আদায়ের নিমিত্তে বাদীর ব্যবসা প্রতিষ্ঠান ও সম্পত্তি অধিগ্রহণের জন্য নাঃ অনুরোধ পত্র ইস্যু করেন। ‘বাংলাদেশ শিল্প ঋণ সংস্থা’ [বাংলাদেশ শিল্প ঋণ সংস্থা অর্ডার ১৯৭২ (পি. ও. নং- ১২৮, ১৯৭২)] দ্বারা পরিচালিত। উক্ত বাংলাদেশ শিল্প ঋণ সংস্থা ১৯৭২ পর্যালোচনা করিলে দেখা যায় যে, উক্ত আদেশের ৩৪ ধারায় পরিস্কার উল্লেখ রহিয়াছে যে, উক্ত সংস্থা কর্তৃক তাহার দায়বদ্ধ কোন শিল্প প্রতিষ্ঠান অধিগ্রহণ সংক্রান্ত কোন সিদ্ধান্তকে বিতর্কিত করিয়া আদালতে মামলা করা চলিবে না। অর্থাৎ বাদীর মূল মোকদ্দমাটি বাংলাদেশ শিল্প ঋণ সংস্থা আদেশ ১৯৭২ এর ৩৪(৫)(a)(i)(ii) ধারার বিধান দ্বারা সম্পূর্ণরূপে বারিত।”...

After examining the above quotation of the above judgments I do not find that the learned courts below committed any error of law by rejecting the plaint, as such, I consider that no illegality or infirmity has been committed by the learned appellate court below by passing the affirming the judgment of the learned trial court. I am therefore not inclined to interfere upon the impugned judgment and order passed by the learned appellate court by affirming the judgment and order passed by the learned trial court.

Accordingly, I do not find any merit in this Rule.

In the result, the Rule is hereby discharged.

The judgment and decree dated 23.07.2000 passed by the learned Subordinate Judge, Court No. 2, Bogra in the Other Appeal No. 04 of 1998 affirming the judgment and decree dated 24.08.1997 passed by the learned Senior Assistant Judge, Dhupchachia, Bogra in the Other Suit No. 50 of 1997 is hereby upheld.

Having taken the above final decision by this court, the ‘Shilpa Rin Sangstha’ now marged and renamed as “Bangladesh Shilpa Rin Sangstha” to take an appropriate steps for recovery of money lended to the present petitioner along with the interest thereof until the realization of the loan money including taking action by way of Civil/Criminal Cases.

The concrned section of this Court is hereby directed to communicate a copy of this judgment and decision to the court concerned as well as “Bangladesh Shilpa Rin Sangstha” as soon as possible.